

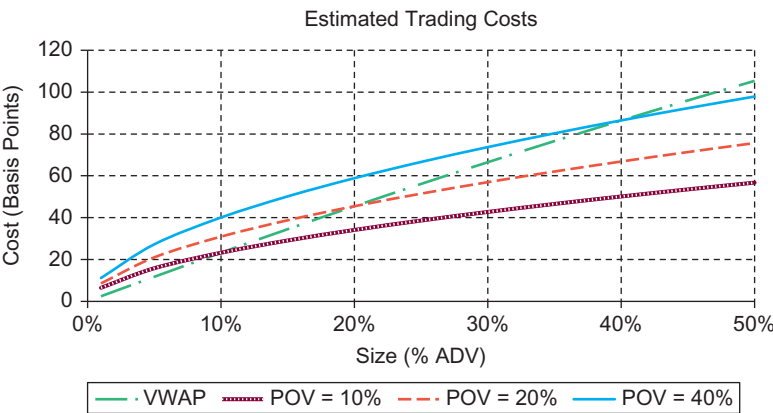
detailed differences across these categories can test the model using the parameters published in [Table 5.5](#).

Cost Curves

Trading cost estimates can be computed for an array of order sizes and trading strategies expressed in terms of POV rate. For example, using parameters for the all data scenario ([Equation 5.16](#) and [Equation 5.17](#)), trading an order that is 10% ADV for a stock with volatility = 25% utilizing a full day VWAP strategy is expected to cost 23.2 bp. Trading this order more aggressively, say with a POV rate of 20%, will cost 30.9 bp. Trading the same order more passively, say with a POV rate of 5%, will cost 17.2 bp.

[Figure 5.7](#) graphically illustrates trading cost estimates for this stock (volatility = 25%) for various order sizes ranging from 1% ADV through 50% ADV, for four different trading strategies: VWAP, POV = 10%, POV = 20%, and POV = 40%. This figure also shows the model has the expected concave shape.

[Table 5.6](#) provides the underlying cost curve data grids for this order. These cost curves provide the expected trading cost for various order sizes executed using various trading strategies (VWAP and POV rates) in tabular form. Cost curves (as will be discussed in later chapters) provide portfolio managers with essential data required for stock selection, portfolio construction, and optimization.



■ Figure 5.7 Estimated Trading Costs.